

Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: May 15th, 2026

Posted: May 14th, 4:30 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appeareances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

Remote Appearances: Department C16 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely:* (1) all counsel and self-represented parties appearing for such hearings **must**, prior to 10:00 a.m. on Friday, check-in online via the Court's civil video appearance website at [Civil Appearance Procedure and Information | Superior Court of California | County of Orange \(occourts.org\)](https://www.occourts.org); (2) participants will then be prompted to join the courtroom's Zoom hearing session; and (3) the calendar will be displayed and participants will then be instructed to rename their Zoom name to include their hearing's calendar number. Check-in instructions and an instructional video are available on the court's website. Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (<https://www.occourts.org/system/files/hr/div3.pdf>.)

#	Case Name	Tentative
50	Bayarsaikhan vs. Headlands Residential Series Owner Trust, Series E 25-01464240	Demurrer to Amended Complaint Defendants Headlands Residential Series Owner Trust, Series E and Servis One, Inc. d/b/a BSI Financial Services’ demurrer to Plaintiffs Bayarmanlai Bayarsaikhan and Khulan Buyanbat’s First Amended Complaint is SUSTAINED without leave to amend. Defendants Headlands Residential Series Owner Trust, Series E and Servis One, Inc. d/b/a BSI Financial Services (collectively, “Defendants”) demur to the first, second, fourth, and fifth causes of action alleged in the First Amended Complaint (“FAC”). <u>First Cause of Action: Violation of Civil Code section 2924.17</u> [All further statutory references are to the Civil Code unless otherwise indicated]: Section 2924.17 provides: (a) A declaration recorded pursuant to Section 2923.5 or pursuant to Section 2923.55, a notice of default, notice of sale, assignment of a deed of trust, or substitution of trustee recorded by or on behalf of a mortgage servicer in connection with a foreclosure subject to the requirements of Section 2924, or a declaration or affidavit filed in any court relative to a foreclosure proceeding shall be accurate and complete and supported by competent and reliable evidence. (b) Before recording or filing any of the documents described in subdivision (a), a mortgage servicer shall ensure that it has reviewed competent and reliable evidence to substantiate the borrower's default and the right to foreclose, including the borrower's loan status and loan information. (c) Any mortgage servicer that engages in multiple and repeated uncorrected violations of subdivision (b) in recording documents or filing documents in any court relative to a foreclosure proceeding shall be liable for a civil penalty of up to seven thousand five hundred dollars (\$7,500) per mortgage or deed of trust in an action brought by a government entity identified in Section 17204 of the Business and Professions Code, or in an administrative proceeding brought by the Department of Financial Protection and Innovation or the Department of Real Estate against a respective licensee, in addition to any other remedies available to these entities. In <i>Lucioni v. Bank of America, N.A.</i> (2016) 3 Cal.App.5th 150 (“<i>Lucioni</i>”), the court explained the statute as follows: Section 2924.17 creates a procedural right directed at the requirements for a declaration that a different HBOR [Homeowner’s Bill of Rights] provision (§ 2923.55) requires a mortgage servicer to file at the time of the notice of default. Subdivision (a) of section 2924.17 states that the declaration must be “accurate and complete and supported by competent and reliable evidence.” The purpose of the declaration, as explained by section 2923.55, is to ensure that

		particular information is provided to the borrower before the notice of default is filed. Subdivisions (a) and (b) of section 2923.55 provide that the foreclosing entity may not record a notice of default unless it first sends the borrower specified information, including, among other things, a statement that the borrower may request “[a] copy of any assignment, if applicable, of the borrower's mortgage or deed of trust required to demonstrate the right of the mortgage servicer to foreclose.” Section 2923.55, subdivision (c) requires that the foreclosing entity file, with the notice of default, a declaration stating that it has contacted the borrower, tried with due diligence to contact the borrower, or that no contact was required because the property owner did not meet the statutory definition of “borrower.” This is the declaration referenced in section 2924.17. The statute does not require the declaration to contain a statement about the right to foreclose. The declaration concerns only the lender's efforts to contact the borrower to provide the required information. Another subdivision of section 2924.17 contains an important additional requirement for the declarant. Subdivision (b) of section 2924.17 states that before filing the declaration, a mortgage servicer “shall ensure that it has reviewed competent and reliable evidence to substantiate the borrower's default and the right to foreclose, including the borrower's loan status and loan information.” The statute, however, does not require a statement in the declaration about the default and the right to foreclose. Subdivision (b) of section 2924.17 is directed at ensuring the foreclosing entity's “review[]” of its right to foreclose. Sections 2924.17 and 2923.55, then, place a burden on the foreclosing party to file a declaration with the notice of default, and provide requirements for the lender's diligence prior to filing that declaration. Those provisions do not create a burden on the foreclosing party to prove anything in court, other than that the declaration required by section 2923.55, subdivision (c) was filed, and that necessary steps were taken before filing it. (<i>Id.</i> at pp. 162-163.) <i>Lucioni</i> further explained: “The statute, however, does not require a statement in the declaration about . . . the right to foreclose. Subdivision (b) of section 2924.17 is directed at ensuring the foreclosing entity's ‘review[]’ of its right to foreclose.” (<i>Lucioni</i>, at p. 163, italics added.) That is, section 2924.17 “do[es] not create a right to litigate, preforeclosure, whether the foreclosing party's conclusion that it had the right to foreclose was correct. If the Legislature wished to authorize as much, it could have authorized injunctive relief for a violation of section 2924(a)(6), but it did not.” (<i>Lucioni</i>, at p. 163.) Here, the FAC alleges, in pertinent part, as follows: Defendants violated section 2924.17 by recording a Notice of Default (“NOD”) and Declaration of Compliance (“DOC”) that were inaccurate, incomplete, and unsupported by competent and reliable evidence. (FAC ¶¶ 34, 41-42.) Defendants relied solely on Plaintiffs’ CPA’s allegedly false denial that he had not signed the CPA letter used during the loan application process, despite Plaintiffs providing handwriting samples, bank statements, tax records, and corroborating documentation verifying the authenticity and
--	--	--

		accuracy of the letter. (FAC ¶¶ 26-29, 36-39, Ex. C.) Defendants falsely represented they contacted Plaintiffs for loss mediation options, but in reality, Defendants called the loan in full, claiming that the CPA stated he did not draft the CPA letter when Plaintiffs first obtained the loan. (FAC ¶¶ 31-32, 34.) Defendants initiated foreclosure proceedings despite Plaintiffs being current on their mortgage payments and not in genuine default. (FAC ¶¶ 40, 43-44.) The FAC fails to adequately allege a cause of action for violation of section 2924.17. Although Plaintiffs allege the NOD and DOC were inaccurate and unsupported by competent and reliable evidence, the allegations primarily challenge the substantive basis for Defendants’ decision to accelerate the loan rather than any actionable procedural defect under section 2924.17. (FAC ¶¶ 26-29, 36-39, Ex. C.) Further, the FAC concedes Defendants contacted Plaintiffs prior to recording the NOD and informed them the loan was being accelerated based on alleged irregularities in the loan application process. (FAC ¶ 25.) Section 2924.17 requires only that foreclosure-related documents be accurate and supported by competent and reliable evidence, and that the servicer review evidence substantiating the borrower’s default and right to foreclose before recording such documents. (See <i>Adams v. Bank of America, N.A.</i> (2020) 51 Cal.App.5th 666, 674; <i>Billesbach v. Specialized Loan Servicing LLC</i> (2021) 63 Cal.App.5th 830, 844.) As explained in <i>Lucioni</i>, section 2924.17 “do[es] not create a right to litigate, preforeclosure, whether the foreclosing party’s conclusion that it had the right to foreclose was correct.” (<i>Lucioni</i>, <i>supra</i>, 3 Cal.App.5th at p. 163.) Here, Plaintiffs essentially allege that Defendants should have credited Plaintiffs’ evidence over the CPA’s denial, thereby challenging the correctness of Defendants’ determination that grounds existed to accelerate the loan, rather than alleging a failure to review evidence or comply with the procedural requirements of section 2924.17. Thus, the demurrer to the first cause of action is sustained. <u>Second Cause of Action for Fraud:</u> The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages. (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 638.) Fraud must be pleaded with specificity rather than with “ ‘general and conclusory allegations.’ ” (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (<i>Lazar v. Superior Court</i>, <i>supra</i>, 12 Cal.4th at p. 645.)
--	--	--

	Under section 2924, subdivision (d), a notice of default or a notice of sale recorded as part of a nonjudicial foreclosure proceeding constitutes a privileged communication pursuant to Section 47. (See <i>Schep v. Capital One, N.A.</i> (2017) 12 Cal.App.5th 1331, 1336.) Section 47(c) establishes that certain communications made between persons on a matter of common interest are privileged if the statements are made “without malice.” (<i>Lundquist v. Reusser</i> (1994) 7 Cal.4th 1193, 1203-1204.) For purposes of this statutory privilege, malice has been defined as “a state of mind arising from hatred or ill will, evidencing a willingness to vex, annoy or injure another person.” (<i>Id.</i>, at p. 1204.) The FAC alleges fraud based on Defendants’ allegedly false statement concerning the reason for declaring Plaintiffs’ loan in default. (FAC ¶ 48.) Plaintiffs allege that in the NOD, Defendants represented that Plaintiffs had breached and defaulted under the DOT due to a violation of the acceleration clause, stating that “during the loan application process, Borrower or persons acting with Borrower’s knowledge or consent provided materially false, misleading, or inaccurate information to the Lender.” (<i>Id.</i> ¶ 51.) Those representations were false because the CPA letter was authentic, Plaintiffs never provided false financial information, and Defendants ignored evidence confirming the truth of the loan application materials. (<i>Id.</i> ¶¶ 54-55.) Defendants knowingly relied on the CPA’s allegedly false denial and fabricated a “loan-fraud” basis to accelerate a performing loan. (<i>Id.</i> ¶¶ 55-58.) Plaintiffs relied on the recorded foreclosure documents as lawful and authentic, diverted resources to attorneys’ fees, forewent refinancing or sale opportunities, and suffered reputational harm, credit injury, emotional distress, and the threat of wrongful foreclosure. (<i>Id.</i> ¶¶ 59-60.) As a result, Plaintiffs sustained damages. (<i>Id.</i> ¶ 61.) The FAC fails to adequately allege a cause of action for fraud because it does not sufficiently plead justifiable reliance. The FAC alleges Defendants falsely stated in the NOD that Plaintiffs provided materially false or misleading information during the loan application process and falsely represented compliance with borrower-contact requirements. (FAC ¶¶ 51-52.) However, the FAC also alleges Defendants contacted Plaintiffs before recording the NOD and informed them the loan was being accelerated based on alleged deficiencies in the loan application, including the CPA’s denial that he signed the CPA letter used during the loan process. (FAC ¶¶ 25-29.) The FAC further alleges Plaintiffs disputed the CPA’s statements and provided Defendants with handwriting samples, bank statements, and other evidence purportedly establishing the CPA letter was authentic. (<i>Ibid.</i>) Accordingly, the FAC affirmatively demonstrates Plaintiffs did not rely on the alleged misrepresentations contained in the NOD or DOC. Rather, Plaintiffs expressly disputed Defendants’ assertions prior to the recording of the NOD and attempted to convince Defendants the statements were false. Because Plaintiffs allegedly knew Defendants’ statements were false and challenged them before the foreclosure documents were recorded, Plaintiffs cannot plausibly allege justifiable reliance as required to state a claim for fraud. Further, the alleged misrepresentations contained in the recorded NOD and related foreclosure documents are privileged under sections 47 and 2924, subdivision (d). Although the privilege is qualified, the FAC does not adequately allege malice sufficient to overcome the privilege because Plaintiffs’ own allegations establish Defendants relied on the CPA’s denial
--	---

		and recorded the NOD based on perceived irregularities in the loan application process. (FAC ¶¶ 25-29, 55.) Thus, the demurrer to the second cause of action is sustained. <u>Third Cause of Action for Slander of Title</u> A slander of title claim requires: (1) publication; (2) absence of privilege or justification, including malice; (3) falsity; and (4) pecuniary loss. (<i>Deutsche Bank National Trust Co. v. Pyle</i> (2017) 13 Cal.App.5th 513, 527, fn. 7.) The FAC alleges that Defendants recorded the NOD in the Orange County official records, thereby publishing false statements that Plaintiffs committed loan-application fraud and defaulted under the deed of trust; the statements were false because Plaintiffs were current on the loan, the CPA letter was authentic, and Defendants ignored evidence disproving any fraud; Defendants acted with malice by recording the NOD; and the recording clouded title and caused harm to their financial standing and legal expenses to clear title. (FAC ¶¶ 80-87.) The FAC fails to adequately allege a cause of action for slander of title. The NOD was recorded as part of a nonjudicial foreclosure proceeding and is therefore subject to the qualified privilege under sections 47 and 2924, subdivision (d), but Plaintiffs fail to adequately allege malice sufficient to overcome that privilege. Although Plaintiffs allege Defendants acted with malice by recording the NOD without proper investigation and with reckless disregard for the truth, the FAC also alleges Defendants accelerated the loan based on the CPA's denial concerning the CPA letter and perceived irregularities in the loan application process. (FAC ¶¶ 25-29, 36, 55.) Accordingly, Plaintiffs' conclusory allegations of malice are insufficient to overcome the qualified privilege. (FAC ¶ 84.) Thus, the demurrer to the third cause of action should be sustained. <u>Fourth Cause of Action for Intentional Infliction of Emotional Distress ("IIED"):</u> A claim for IIED requires: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (<i>Hughes v. Pair</i> (2009) 46 Cal.4th 1035, 1050.) The conduct must be so extreme as to be beyond all bounds of decency tolerated by society. (Id. at pp. 1050-1051.) The FAC alleges Defendants falsely accused them of loan-application fraud, initiated foreclosure proceedings on a current loan, ignored Plaintiffs' evidence disproving fraud, and weaponized the foreclosure process to coerce and distress Plaintiffs. (FAC ¶¶ 89-93.) BSI agents came to their home, left notices, photographed the property, and made repeated threatening calls advising foreclosure was imminent, including late-evening calls after counsel had been retained. (Id. ¶¶ 94-95.) Defendants' conduct caused anxiety, panic attacks, humiliation, insomnia, fear of displacement, and severe emotional distress. (Id. ¶¶ 94-98.)
--	--	---

		The FAC fails to adequately allege conduct sufficiently extreme and outrageous to support a claim for IIED. Although Plaintiffs characterize Defendants’ conduct as harassing and coercive, the alleged acts arise from Defendants’ efforts to enforce their contractual rights under the deed of trust and pursue foreclosure proceedings based on perceived irregularities in the loan application process. Such conduct, even if upsetting or distressing to Plaintiffs, does not exceed all bounds tolerated in a civilized society as required to state an IIED claim. Further, the FAC alleges Defendants relied on the CPA’s denial that he authored the CPA letter supporting the loan application. (FAC ¶¶ 26, 55, 91.) Plaintiffs’ disagreement with Defendants’ decision to accelerate the loan and proceed with foreclosure does not transform ordinary foreclosure-related conduct into outrageous conduct actionable as IIED. Thus, the demurrer to the fourth cause of action is sustained. <u>Leave to Amend:</u> Despite prior leave to amend, it does not appear there is a reasonable possibility Plaintiffs can amend the FAC to state viable claims against the foreclosing Defendants. Thus, the demurrer is sustained without leave to amend. Defendants to give notice.
51	Jinbo vs. Santa Ana Unified School District 24-01431157	Demurrer to Amended Complaint & Motion to Strike Complaint Defendants Santa Ana Unified School District (“District”) and Mayra Helguera (“Helguera”) (collectively, “Defendants”)’s demurrer is OVERRULED as to the First Cause of Action and SUSTAINED without leave to amend as to the Second Cause of Action. Defendants’ motion to strike is DENIED. 1. Demurrer Defendants demur to the Second Amended Complaint (“SAC”) on the grounds that Plaintiff failed to exhaust administrative remedies and failed to allege facts sufficient to state a claim. A. <u>Exhaustion of Administrative Remedies</u> Before suing for violation of the FEHA, plaintiff must file a timely and sufficient administrative complaint with the CRD (formerly the Department of Fair Employment and Housing (“DFEH”)) and receive a “right-to-sue” notice (Notice of Right to File a Civil Action). (Gov. Code, §§ 12960, 12965, subd. (c).) As a “jurisdictional prerequisite,” plaintiff bears the burden of pleading and proving timely filing of a sufficient complaint with the CRD and obtaining a right-to-sue notice. (See <i>Holland v. Union Pac. R.R. Co.</i> (2007) 154 Cal.App.4th 940, 945.) An administrative complaint must be filed with the CRD within three years of the date the alleged unlawful practice occurred, or within 90 days

	thereafter if the employee first discovered the facts of the unlawful practice after expiration of the three-year period. (Gov. Code, § 12960, subd. (e)(5), (6); <i>Williams v. City of Belvedere</i> (1999) 72 Cal.App.4th 84, 92-93 [considering prior version of statute]—90-day period begins to run immediately following expiration of one-year filing deadline and not from any subsequent date on which discriminatory act might have been discovered.) The deadline for filing charges based on an allegedly discriminatory refusal to hire runs from the date plaintiff was notified he or she would not be. (<i>Williams v. City of Belvedere</i> (1999) 72 Cal.App.4th 84, 92.) A claim alleging an unlawful failure to promote accrues when the employee had actual or constructive knowledge of the employer's decision not to promote the employee. (<i>Pollock v. Tri-Modal Distribution Services, Inc.</i> (2021) 11 Cal.5th 918, 941.) The continuing violation doctrine comes into play when an employee raises a claim based on conduct that occurred in part outside the limitations period. Provided at least one of the acts occurred within the statutory period, the employer may be liable for the entire course of conduct, including acts predating the statutory period, under the continuing violation doctrine. (<i>Richards v. CH2M Hill, Inc.</i> (2001) 26 Cal.4th 798, 823-824; see <i>Yanowitz v. L'Oreal USA, Inc.</i> (2005) 36 Cal.4th 1028, 1056—not limited to harassment claims, continuing violation doctrine may apply to FEHA claims of disability discrimination or retaliation.) This theory requires plaintiff to show a series of related, recurring discriminatory acts, at least one of which occurred during the statutory period, plus justification for not filing charges sooner. (See <i>Acuna v. San Diego Gas & Elec. Co.</i> (2013) 217 Cal.App.4th 1402, 1417—doctrine inapplicable absent allegations of continuing discrimination or harassment.) Defendants argue Plaintiff failed to timely file her CRD complaint because the primary adverse employment action alleged in the SAC (the denial of promotion for the Director of Special Education position) occurred in December 2019, when Plaintiff learned the position would be reopened and later filled by a male employee. Defendants contend Plaintiff's October 3, 2023 CRD complaint was therefore filed outside FEHA's three-year limitations period. However, the SAC alleges more than a single discrete act of discrimination and instead alleges a continuing pattern of discriminatory conduct. Plaintiff alleges Defendants engaged in a continuing pattern of gender-based hostility, favoritism toward male employees, denial of opportunities, reassignment of work, intimidation of female staff, and retaliatory interference with Plaintiff's advancement opportunities throughout her employment from November 2018 through her resignation in November 2020. (SAC ¶¶ 5, 13-19, 32-37, 45-53.) Although the promotion denial may constitute a discrete adverse action, Plaintiff alleges it was part of a broader continuing pattern of gender discrimination and hostility that persisted through November 2020. Under the continuing violation doctrine, the statute of limitations does not begin to run until the unlawful conduct ends or the employer makes clear that further efforts to resolve the situation would be futile. (<i>Richards v. CH2M Hill, Inc.</i> (2001) 26 Cal.4th 798, 823.) Because Plaintiff alleges the discriminatory conduct continued through her resignation in November 2020, the SAC sufficiently alleges a timely CRD filing within three years of the alleged
--	--

		continuing violation. At the pleading stage, these allegations are sufficient to invoke the continuing violation doctrine. Defendants also argue the SAC exceeds the scope of the CRD complaint because the CRD form identifies November 2, 2021 as the date of the adverse conduct. However, the CRD complaint expressly alleges hostile work environment, denial of promotion, denial of opportunities and assignments, retaliation, and forced resignation based on gender discrimination. (SAC, Exh. A.) The allegations contained in the SAC are reasonably related to the allegations asserted in the CRD complaint and would reasonably be expected to arise from an investigation into Plaintiff's claims of gender discrimination and retaliation. (See <i>Okoli v. Lockheed Technical Operations Co.</i> (1995) 36 Cal.App.4th 1607, 1615 ["if an investigation of what was charged . . . would necessarily uncover other incidents that were not charged, the latter incidents could be included in a subsequent action"].) Plaintiff's allegations regarding favoritism toward male employees, denial of advancement opportunities, reassignment of work, and hostility toward female employees provide factual support and context for the same discrimination and retaliation claims asserted in the CRD complaint. Moreover, what is submitted to the CRD "must not only be construed liberally in favor of plaintiff, it must be construed in light of what might be uncovered by a reasonable investigation." (<i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 268.) Thus, the SAC does not improperly expand beyond the scope of the CRD complaint. Accordingly, the demurrer on this ground is OVERRULED. B. First Cause of Action for Gender Discrimination FEHA makes it unlawful for an employer "to discriminate against the person . . . in terms, conditions, or privileges of employment" because of the person's sex or gender, among other protected categories. (Gov. Code, § 12940, subd. (a).) A plaintiff claiming discrimination must demonstrate: "(1) he was a member of a protected class, (2) he was qualified for the position he sought or was performing competently in the position he held, (3) he suffered an adverse employment action, such as termination . . . and (4) some other circumstance suggests discriminatory motive." (<i>Guz v. Bechtel National, Inc.</i> (2000) 24 Cal.4th 317, 355.) The SAC alleges Plaintiff is female and therefore a member of a protected class. (SAC ¶ 1.) The SAC further alleges Plaintiff was qualified for her position and for advancement opportunities, including the Director of Special Education position for which she applied in December 2019. (SAC ¶¶ 35, 45.) The SAC alleges Plaintiff suffered adverse employment actions, including denial of promotion, reassignment of meaningful work opportunities to less-qualified male employees, denial of advancement opportunities, negative references, and interference with her ability to secure employment in Orange County school districts. (SAC ¶¶ 34-36.) The SAC also alleges facts supporting a discriminatory motive. The SAC alleges Helguera treated female employees harshly, intimidated and demeaned women in the workplace, ignored female employees' concerns, and favored male employees in workplace interactions and advancement
--	--	--

		opportunities. (SAC ¶¶ 13-17, 32-33.) The SAC further alleges Helguera “groomed” and promoted less-qualified male employees while limiting opportunities for female employees, including Plaintiff. (SAC ¶¶ 35-36.) The SAC alleges the Director position for which she applied was ultimately awarded to a less-qualified male employee favored by Helguera. (SAC ¶ 35.) The SAC sufficiently alleges a claim for gender discrimination under FEHA. While Defendants contend Plaintiff lacks standing to assert FEHA claims based on conduct directed at others, the SAC alleges Plaintiff personally suffered adverse employment actions. (SAC ¶¶ 34-36, 48-50.) Thus, the demurrer to the first cause of action is OVERRULED. C. Second Cause of Action for Retaliation “[T]o establish a prima facie case of retaliation under the FEHA, a plaintiff must show (1) he or she engaged in a ‘protected activity,’ (2) the employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer’s action.” (<i>Yanowitz v. L’Oreal USA, Inc.</i> (2005) 36 Cal.4th 1028, 1042.) The SAC fails to adequately allege facts demonstrating that Plaintiff engaged in protected activity within the meaning of FEHA or that a causal link existed between any protected activity and the alleged adverse employment actions. Although the SAC alleges Plaintiff sought other employment “in an effort to distance and/or remove herself” from Helguera’s alleged discriminatory conduct, the SAC does not allege Plaintiff communicated those concerns to Helguera, complained about discrimination, opposed unlawful conduct, or otherwise engaged in protected activity known to Defendants. (SAC ¶ 46.) Further, although the SAC alleges Plaintiff participated in a District investigation concerning Helguera on June 9, 2021, Plaintiff had already resigned from SAUSD in November 2020. (SAC ¶¶ 20-21, 53.) Thus, the demurrer to the second cause of action is SUSTAINED without further leave to amend. The SAC was Plaintiff’s third attempt to adequately allege facts sufficient to support a retaliation claim, yet Plaintiff still fails to allege facts demonstrating protected activity or a causal connection between any protected activity and the alleged adverse employment actions. D. Sham Amendment Under the sham pleading doctrine, if a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the court may take judicial notice of prior pleadings and may disregard any inconsistent allegations. (<i>Zakk v. Diesel</i> (2019) 33 Cal.App.5th 431, 447.) Although the SAC places greater emphasis on adverse employment actions directed at Plaintiff personally, the SAC does not directly contradict the First Amended Complaint (“FAC”). The FAC alleged Plaintiff observed discriminatory treatment toward female employees, felt demeaned and intimidated by the work environment, sought other employment because of the hostile environment, and believed Helguera favored male employees for
--	--	---

advancement opportunities. (FAC ¶¶ 15-24.) The SAC expands upon those allegations by adding more specific facts regarding denial of promotion opportunities, reassignment of work to male employees, alleged blackballing, and harm to Plaintiff's health and career. (SAC ¶¶ 34-37, 45-53.) Although Defendants argue the SAC improperly shifts Plaintiff's theory from observer to direct victim, the amendments are more properly characterized as elaborating upon and clarifying Plaintiff's prior allegations rather than contradicting them. Accordingly, the SAC does not constitute a sham pleading.

2. Motion to Strike

Defendants move to strike portions of the SAC seeking punitive damages against Helguera (SAC ¶¶ 39, 55, Prayer ¶ 3), and allegations of conduct toward other female employees observed by Plaintiff (SAC ¶¶ 13-17, 32).

A. Punitive Damages

Punitive damages may be awarded in FEHA actions where the defendant is shown by clear and convincing evidence to have acted with "oppression, fraud, or malice." (Civ. Code, § 3294, subd. (a); *Commodore Home Systems, Inc. v. Superior Court* (1982) 32 Cal.3d 211, 221.) "Malice" includes despicable conduct carried on with a willful and conscious disregard of another's rights, while "oppression" involves despicable conduct subjecting a person to cruel and unjust hardship in conscious disregard of that person's rights. (Civ. Code, § 3294, subd. (c)(1)-(2).) Despicable conduct is conduct so vile or contemptible that it would be despised by ordinary decent people. (*Scott v. Phoenix Schools, Inc.* (2009) 175 Cal.App.4th 702, 715.)

Here, the SAC alleges Helguera engaged in a continuing pattern of gender favoritism and hostility toward female employees, including singling out female employees for intimidation and criticism, favoring male employees for advancement opportunities, denying Plaintiff promotion opportunities in favor of a less-qualified male employee, assigning work opportunities to male employees to limit Plaintiff's advancement, and allegedly interfering with Plaintiff's professional opportunities through negative references and blackballing. (SAC ¶¶ 13-17, 32-39, 45-55.) Construing the allegations liberally at the pleading stage, the SAC sufficiently alleges intentional discriminatory conduct and conscious disregard for Plaintiff's rights to support a punitive damages claim against Helguera. Accordingly, the motion to strike is DENIED.

B. Allegations Directed at Others

Defendants move to strike portions of the SAC alleging conduct directed toward other female employees that Plaintiff allegedly observed, rather than conduct directed toward Plaintiff herself (SAC ¶¶ 13-17, 32), arguing such allegations fall outside the scope of the CRD complaint.

However, the CRD complaint alleges hostile work environment, gender discrimination, retaliation, denial of promotion, and forced resignation based on gender discrimination. (SAC, Exh. A.) The SAC's allegations regarding Helguera's treatment of other female employees provide factual support and context for Plaintiff's claims that Defendants engaged in a broader pattern of gender-based hostility and favoritism toward male employees. (SAC ¶¶ 13-17, 32-33.) These allegations are relevant to discriminatory motive, intent,

		and the workplace environment in which the alleged adverse employment actions occurred. Construing the allegations liberally at the pleading stage, the challenged allegations are not improper or irrelevant. Accordingly, the motion to strike is DENIED. Plaintiff is reminded that California Rules of Court, rule 3.1113(d), limits opposition memoranda to 15 pages absent prior court approval. Plaintiff's opposition memoranda (ROA Nos. 87, 89) exceed that permissible page limit. Defendants to give notice.
52	Patel vs. Brahmbhatt 21-01188360	Motion to Seal The Motion to Seal brought by Defendants Sunil A. Brahmbhatt, Keven Brahmbhatt and Natasha Brahmbhatt, is DENIED. “The public has a First Amendment right of access to civil litigation documents filed in court and used at trial or submitted as a basis for adjudication.” (<i>Savaglio v. Wal-Mart Stores, Inc.</i> (2007) 149 Cal.App.4th 588, 596-597.) In line with the above, “[u]nless confidentiality is required by law, court records are presumed to be open.” (Cal. Rules of Court rule 2.550(c).) Firstly, in seeking to seal “the entire court file,” Defendants have necessarily failed to narrowly tailor their request, as required by California Rules of Court rule 2.550(d). Within the body of the motion, Defendants briefly state “[t]he Documents which are sought to be sealed as a part of the file are the Complaint and First Amended Complaint with all its Exhibits (25)...” (Motion: 3: 25-27.) While this statement gives the impression of narrowing, the referenced Complaint and First Amended Complaint, along with their Exhibits, total 619 pages. (ROA Nos. 2 and 87.) Likewise, while Defendants assert that “sensitive financial information relating to the Defendant entities and Plaintiffs investment” are included somewhere within those 619 pages, the same is insufficient to allow a narrowly tailored order which complies with California Rules of Court rule 2.550(e)(1). Of note, “trial courts can, and should, view overly inclusive sealing efforts with a jaundiced eye, and impose sanctions as appropriate.” (<i>Overstock.com, Inc. v. Goldman Sachs Group, Inc.</i> (2014) 231 Cal.App.4th 471, 500.) In addition to the above, while Defendants offer declarations which state they have been negatively affected by certain allegations and filings being public, the declarations do not contain “facts sufficient to justify the sealing” of the entire record. (Cal. Rules of Court rule 2.551(b)(1).) “[A]t a minimum...the party seeking to seal documents, or maintain them under seal, must come forward with a specific enumeration of the facts sought to be withheld and specific reasons for withholding them.” (<i>H.B. Fuller Co. v. Doe</i> (2007) 151 Cal.App.4th 879, 894.)

		Within the motion, Defendants assert sealing is necessary to protect the reputation of a licensed attorney from “fabricated and totally false” allegations, stating: “Courts recognize the serious harm caused by publishing unverified accusations of misconduct against a licensed attorney. See <i>Burkle</i>, 135 Cal.App.4th at 1052-1053.” (Motion: 4:15-18.) However, the citation to <i>In re Marriage Burkle</i> (2006) 135 Cal.App.4th 1045, is wholly unavailing to the point to which it is attached: The cited portion of <i>Burkle</i>, concluded that former Family Code section 2024.6, which <i>mandated</i> the sealing of information concerning assets and liabilities in divorce proceedings, unconstitutionally violated the First Amendment right of public access to court records. (<i>Id.</i> at pp. 1052-1053.) Thus, while Defendants declare they have been injured by malicious and false allegations, they offer no authority which supports sealing documents solely based on reputational damage. Thereafter, Defendants generally cite <i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, asserting it stands for the proposition that “sealing [is] appropriate to prevent business harm.” (Motion: 4:28.) However, Defendants have <i>not</i> identified any “financial information” or confidential business operations, which have been publicly filed, that would fall within the above holding. (<i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1286.) At best, Defendants declare in a conclusory fashion, that the record contains “sensitive financial information relating to the Defendant entities and Plaintiffs investment.” (¶4 of Sunil Brahmhatt Declaration.) Indeed, if anything, Defendants assert the information sought to be sealed is <i>false</i>, and consequently, cannot reveal the actual business operations of Defendants. (See ¶14 and ¶21 of Sunil Brahmhatt Declaration; See also ¶5 of Keven Brahmhatt Declaration.) In addition to the above, the citation to <i>Universal</i> brings to light a question of timeliness: The <i>Universal</i> Court proceeded to deny the request to seal therein, as the financial data at issue had been publicly filed in another action: “In the absence of any evidence of inadvertence or mistake, we are satisfied that defendant’s own voluntary disclosure of the financial data in an unsealed document it filed in superior court where the information has been available for public review for over one year substantially outweighs the confidentiality interests identified....” (<i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1286.) Like the circumstances in <i>Universal</i>, the record of this action includes filings by Defendants, that have been public, in some cases, for over 5 years. In <i>Savaglio v. Wal-Mart Stores, Inc.</i> (2007) 149 Cal.App.4th 588, the Court held the failure to follow sealing procedures, when documents have been publicly available, is conduct “so inconsistent with an intent to enforce its rights to obtain sealed records under the Rules of Court as to induce a reasonable belief [the party has] relinquished such right.” (<i>Id.</i> at p. 599-601.) The Court also held that “irrespective of the waiver, the trial court lacked discretion to entertain a belated motion to seal.” (<i>Id.</i> at p. 601.) Defendants have offered no explanation as to how this motion, which seeks to seal documents publicly filed as early as March 9, 2021, is timely.
--	--	---

		Next, the motion states: “Exhibits ‘A’ to ‘Y’ are the investment agreements which contain a confidentiality clause and include private financial investment information typically sealed by courts.” (Motion: 5:2-4.) The motion does not identify these documents more specifically; however, they are presumably exhibits to the Complaint. Regardless, as stated above, the “private financial investment information” is not specifically identified. In support of this portion of the motion, Defendants cite only <i>Huffy Corp. v. Superior Court</i> (2003) 112 Cal.App.4th 97, wherein the Court <i>declined</i> to seal a settlement agreement with a confidentiality clause. <i>Huffy</i> reaffirmed that “a settlement agreement which had a confidentiality provision could not be sealed unless there was a showing of serious injury which would result from public disclosure.” (<i>Huffy Corp. v. Superior Court</i> (2003) 112 Cal.App.4th 97, 106.) Similarly, no such showing has been made herein. Lastly, while Defendants <i>briefly</i> cite authority which discusses sealing trade secrets (See ¶18 of Sunil Brahmbhatt Declaration, citing <i>In re Providian Credit Card Cases</i> (2002) 96 Cal.App.4th 292, 298-299), Defendants have not identified any trade secrets, included within any filing. Based on all the above, the motion is DENIED.
53	Auto Finance Solutions, LLC vs. Citicars 24-01439282	Motion for Leave to File Amended Complaint Plaintiff Auto Finance Solutions, LLC’s motion for leave to file a Second Amended Complaint is GRANTED. The Civil Procedure Code provides that “[t]he court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Code Civ. Proc., § 473, subd. (a)(1).) The case law is clear that leave to amend should be granted liberally at all stages of the proceedings in order to accomplish substantial justice for both parties and to resolve cases on their merits. (See <i>Hirsa v. Superior Court</i> (1981) 118 Cal.App.3d 486, 488-489; <i>IMO Development Corp. v. Dow Corning</i> (1982) 135 Cal.App.3d 451, 461.) “If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend” (<i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530 [citations and quotations omitted].) Plaintiff has sufficiently complied with the procedural requirements for a motion for leave to amend. (Sadana Decl. ¶¶ 5-7,10, Exhs. 1-2.) No opposition was filed and no prejudice was identified from the filing of the proposed Second Amended Complaint. Plaintiff’s motion is granted. Plaintiff is ordered to file and serve the Second Amended Complaint attached as Exhibit 1 to the Declaration of Kavita Sadana by May 22, 2026. Plaintiff to give notice of this ruling.

54	Hernandez vs. Orchard Supply Hardware LLC 23-01314896	Motion to Be Relieved as Counsel of Record The Motion to be Relieved brought by John C. Carpenter, Esq. and Asa O. Eaton, Esq. is CONTINUED to 6/05/2026 at 8:30 AM, to ensure complete compliance with California Rules of Court rule 3.1362. While the mandatory declaration form indicates counsel confirmed their client’s last known address by mail, telephone and conversation, the declaration does <i>not</i> indicate this confirmation occurred within the past 30 days, as required. (§3(b) of ROA No. 105.) Counsel requests the Court grant the motion regardless, as “Plaintiff by and through her Guardian Ad Litem has remained out of contact with Counsel despite numerous attempts to re-establish contact through her known address, email address, and telephone number” (§3(c) of Declaration [ROA No. 105]); however, California Rules of Court rule 3.1362 requires efforts to make contact within the last 30 days, <i>regardless</i>. The alternative to a declaration which establishes the address is “current” (meaning confirmed within 30 days) is a declaration which states: “The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.” (Cal. Rules of Court rule 3.1362(d)(1)(B).) In an abundance of caution, and to ensure proper notice to the identified client (in this case a minor proceeding via Guardian Ad Litem), the Court continues this hearing and requests an additional declaration, which addresses the efforts made to locate Plaintiff’s current address and the timing in which they were made. This declaration shall be filed no later than 9 court days prior to the continued hearing date. Additionally, Counsel is directed to give notice of the continued hearing date to all parties in this action, as well as the client, and to file a proof of service which establishes compliance with the above, no later than 9 court days prior to the continued hearing date.
56	Gonzalez vs. New Century Enterprises, LLC 25-01507855	Demurrer to Complaint Defendant New Century Enterprises, LLC demurs to the third, fifth, and sixth causes of action asserted in the Complaint filed by Plaintiff Rosa Maria Gonzalez. The demurrer is OVERRULED as to the third cause of action and SUSTAINED as to the fifth and sixth causes of action. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 15 days of service of notice of ruling. In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader’s ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05.)

		<u>Third Cause of Action for Failure to Prevent Discrimination and Retaliation</u> Plaintiff’s third cause of action alleges failure to prevent discrimination or retaliation in violation of the Fair Housing and Employment Act (“FEHA”). The elements of this claim are: (1) the plaintiff was subjected to discrimination or retaliation; (2) the defendant failed to take all reasonable steps to prevent discrimination or retaliation; and (3) this failure caused the plaintiff harm. (<i>Caldera v. Department of Corrections and Rehabilitation</i> (2018) 25 Cal.App.5th 31, 43–44.) Defendants concede the Complaint alleges facts sufficient to constitute causes of action for discrimination and retaliation. The Complaint alleges Defendants failed to take all reasonable steps necessary to prevent discrimination and retaliation from occurring. (Compl. ¶¶ 91-93.) More specifically, the Complaint alleges Plaintiff’s manager demanded Plaintiff write a letter to the company indicating she could not return to work after Plaintiff requested reasonable accommodations. (<i>Id.</i> at ¶¶ 31-33.) Subsequently, Plaintiff was terminated during a meeting with her manager the day before Plaintiff was due to return to work after an extended medical leave. (<i>Id.</i> at ¶¶ 41-53.) At her manager’s direction, Plaintiff spoke with a human resources representative. (<i>Id.</i> at ¶ 54.) The representative reiterated the fact that the company was terminating Plaintiff’s employment. (<i>Id.</i>) The Complaint’s allegations sufficient to state a cause of action for failure to prevent discrimination and retaliation. The demurrer is overruled as to the third cause of action. <u>Fifth Cause of Action for Failure to Accommodate</u> “To establish a failure to accommodate claim [under FEHA], [an employee] must show (1) [the employee] has a disability covered by FEHA; (2) [the employee] can perform the essential functions of the position; and (3) [the employer] failed reasonably to accommodate [the employee’s] disability.” (See <i>Brown v. Los Angeles Unified School Dist.</i> (2021) 60 Cal.App.5th 1092, 1107.) “A ‘reasonable accommodation’ means a modification or adjustment to the workplace that enables the employee to perform the essential functions of the job held or desired. [Citation.] ... [A]n accommodation is not reasonable if it produces an undue hardship to the employer” (See <i>id.</i> at pp. 1107–1108.) The Complaint does not allege facts showing Plaintiff can perform the essential functions of her position. Plaintiff argues that her work status report served as a notice to Defendant that she could perform her work duties if the work restrictions were accommodated. (Opp. at 9:3-4.) The Complaint alleges Plaintiff texted her manager and supervisors pictures of her work status reports. (Compl. ¶¶ 27, 30, 33, 42-43.) Without more, these allegations are insufficient to show Plaintiff was able to perform the essential functions of her position. The Complaint also included two images of the work status reports. (<i>Id.</i> at ¶¶ 30, 37.) These images, however, at not legible. The demurrer is sustained as to the fifth cause of action. <u>Sixth Cause of Action for Whistleblower Retaliation under Labor Code Section 1102.5</u> Labor Code section 1102.5 “ ‘reflects the broad public policy interest in encouraging workplace whistle-blowers to report unlawful acts without
--	--	--

		fearing retaliation.’ [Citation.] An employee injured by prohibited retaliation may file a private suit for damages.” (<i>Lawson v. PPG Architectural Finishes, Inc.</i> (2022) 12 Cal.5th 703, 709; see also Lab. Code, § 1105.) To plead a violation of Labor Code section 1102.5, plaintiff must allege she engaged in whistleblowing activity protected by the statute, and that the protected activity was a contributing factor in her suffering an adverse employment action. (Lab. Code, § 1102.6; <i>Lawson, supra</i>, 12 Cal.5th at p. 712.) The sixth cause of action alleges Defendant subjected Plaintiff to an adverse employment action by retaliating against Plaintiff. (Compl. ¶ 128.) As Plaintiff argues, the Complaint alleges Plaintiff engaged in protected activity by requesting reasonable accommodations and refusing to submit a false letter. (<i>Id.</i> at ¶¶ 31-33.) The Complaint, however, does not allege Plaintiff engaged in activity protected by Labor Code section 1102.5, namely that Plaintiff disclosed information Plaintiff reasonably believed disclosed a violation of non-compliance with federal or state law to individuals with authority over her. The demurrer is sustained as to the sixth cause of action. Defendant to give notice.
57	Winokur vs. General Motors, LLC 25-01492309	Demurrer to Complaint The Demurrer to the Complaint brought by General Motors, LLC is SUSTAINED IN PART and OVERRULED IN PART. To the extent the Demurrer is sustained, Plaintiff is GRANTED 15-days leave to amend. The Demurrer is OVERRULED as to the Fourth Cause of Action. The Demurrer to the Fifth Cause of Action is SUSTAINED WITH LEAVE TO AMEND. <u>4th Cause of Action for Breach of Implied Warranty</u> The four-year statute of limitations articulated in Commercial Code section 2725 applies to claims brought pursuant to the Song-Beverly Act. (<i>Krieger v. Nick Alexander Imports, Inc.</i> (1991) 234 Cal.App.3d 205, 214-215.) “A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered” (Com. Code, § 2725, subd. (2).) Similarly, “[t]he statute of limitations for breaches of the implied warranty of merchantability is four years.” (<i>Montoya v. Ford Motor Co.</i> (2020) 46 Cal.App.5th 493, 494.) Additionally, “an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.” (Code Civ. Proc., § 871.21, subd. (b).) “[T]his chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or

		(d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.” (Code Civ. Proc., § 871.20, subd. (a).) GM, the Defendant in this action, has elected to opt-in to the above lemon law procedures. The Court takes judicial notice pursuant to Evidence Code section 452, subdivision (h), of the Manufacturers Arbitration Certificate Program listings, located on the California Department of Consumer Affairs website, at https://www.dca.ca.gov/acp/accepted_manufacturers.shtml. Per the Complaint, Plaintiffs entered into the relevant warranty contract on 12/11/20. (¶6 of Complaint.) Although not explicitly stated, the reasonable implication is that the vehicle was delivered to Plaintiffs, on that same date. On demurrer, the Court “assume[s] the truth of all properly pleaded facts, as well as all facts that may be implied or reasonably inferred from those expressly alleged...” (<i>Sonoma Luxury Resort LLC v. California Regional Water Quality Control Bd.</i> (2023) 96 Cal.App.5th 935, 940.) The instant action was not commenced until 6/4/25, approximately four and a half years after delivery of the vehicle. While the Complaint is unclear as to when the express warranty expired, the Demurrer on this ground cannot be sustained. A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. (<i>Boy Scouts of America Nat. Foundation v. Superior Court</i> (2012) 206 Cal.App.4th 428, 438.) “In order for the bar to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint.” (<i>Id.</i> at pp. 438-439.) As the defect does not clearly and affirmatively appear on the face of the Complaint, the demurrer on this ground fails. Accordingly, the demurrer to the Fourth Cause of Action is OVERRULED. <u>Fifth Cause of Action for Fraudulent Inducement/Concealment</u> The limitations period for Plaintiffs’ fraud cause of action is three years. (Code Civ. Proc., § 338, subdivision (d).) “The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (<i>Ibid.</i>) “California law recognizes a general, rebuttable presumption, that plaintiffs have ‘knowledge of the wrongful cause of an injury.’ ” (<i>Grisham v. Philip Morris U.S.A., Inc.</i> (2007) 40 Cal.4th 623, 638 (Grisham).) The delayed discovery rule rebuts that presumption and tolls the statute of limitations. (<i>Ibid.</i>; See also <i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 803.) “In order to rely on the discovery rule for delayed accrual of a cause of action, ‘[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.’ ” (<i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 808.) Likewise, “[w]hen a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that
--	--	--

		otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory." (<i>Mills v. Forestex Co.</i> (2003) 108 Cal.App.4th 625, 641.) "A plaintiff who fails to sufficiently plead such facts normally should be permitted to amend his or her complaint to do so." (<i>Ibid.</i>) As noted above, the Complaint alleges Plaintiffs entered into the warranty contract on 12/11/20 (§6 of Complaint.) This allegation implies Plaintiffs purchased the vehicle and took possession, on that date. Additionally, the Complaint alleges "Defendant GM committed fraud by allowing the Subject Vehicle to be sold to Plaintiffs without disclosing that the Subject Vehicle and its 8-speed transmission were defective and susceptible to sudden and premature failure." (§46 of Complaint.) Here, the Complaint alleges that "[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period" and that Defendant knew of the existence of such defects, prior to Plaintiff purchasing the vehicle. (§11 and §47 of Complaint.) The implication from the above allegations is that the defects existed at the time of delivery. Because Plaintiffs are presumed to have knowledge of the wrongful cause of their injury (<i>Grisham</i>, supra, 40 Cal.4th at p. 638), the applicable statute of limitations began to accrue when they received the vehicle with a defect that could not be conformed to warranty. As the instant action was not filed until 6/24/25, more than four years thereafter, the claim appears barred on its face. Thereafter, the Complaint simply alleges that delayed discovery and/or tolling apply, in a conclusory manner. (§23 of Complaint ["To the extent there are any statutes of limitation applicable to Plaintiffs' claims...the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, the fraudulent concealment rules, equitable estoppel, the repair rule, and/or class action tolling (e.g., the American Pipe rule)."]) Further, Plaintiffs merely allege the wrongful conduct was discovered shortly before the filing of the complaint, "on or about April 8, 2025 when they requested a buyback and/or restitution of the Subject Vehicle from GM...GM failed to provide restitution pursuant to the Song-Beverly Consumer Warranty Act." (§24 of Complaint.) Similarly, the specific allegations included within the fraudulent inducement claim, fail to plead delayed discovery. Plaintiffs allege Defendant was well aware of the transmission defects prior to the sale and that Plaintiffs "could not reasonably have been expected to learn or discover of the Vehicle's Transmission Defect and its potential consequences until well after Plaintiffs purchased the Vehicle." (§57(c) of Complaint.) The above, however, does not allege facts which demonstrate "(1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence." (<i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 808.) Based on all the above, the Demurrer to the Fifth Cause of Action is SUSTAINED with 15-days leave to amend. Defendant to give notice.
--	--	---

58	Aplizar vs. Bryan 23-01346664	Motion for Terminating Sanctions Defendants Aelee Bryan and Randal Bryan, erroneously sued and served as Randall Bryan, moves for terminating sanctions and an order striking the Complaint and dismissing the action of Plaintiff Jose Miguel Alpizar with prejudice. Defendants also request monetary sanctions in the amount of \$1,079.48. The motion is DENIED in part and GRANTED in part. On November 21, 2025, the Court granted Defendant Aelee Bryan’s unopposed Motion to Compel Plaintiff Jose Miguel Alpizar to provide a verified, full, and complete responses to Defendant’s Supplemental Discovery. (ROA 88 [11/21/25 Minute Order].) The Court ordered Plaintiff to provide a verified response without objections to Defendant’s supplemental discovery within fifteen days (15) of service of the ruling. (<i>Id.</i>) The Court further ordered Plaintiff to pay monetary sanctions to Defendant in the amount of \$780.00. (<i>Id.</i>) On November 24, 2025, Defendant filed Notice of Ruling that was served on Plaintiff via U.S. Mail. (ROA 91.) Plaintiff has not served any responses to the discovery or paid the ordered sanctions. (Barcelos-Pettit Decl. ¶ 5.) The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination. (<i>Doppes v. Bentley Motors, Inc.</i> (2009) 174 Cal.App.4th 967, 992.) If a lesser sanction fails to curb misuse, a greater sanction is warranted: continuing misuses of the discovery process warrant incrementally harsher sanctions until the sanction is reached that will curb the abuse. (<i>Id.</i>) The court finds that the record here does not support terminating sanctions. Defendants’ motion does not set forth substantial evidence of Plaintiff’s continuous obstructive and willful conduct in the discovery process warranting the ultimate sanction. Plaintiff shall fully comply with the court’s November 21, 2025 Order. Plaintiff is ordered to serve verified responses, without objection, to the outstanding Supplemental Interrogatory and Supplemental Demand for Production within 30 calendar days. The court warns Plaintiff Jose Miguel Alpiza that Plaintiff’s failure to comply with his discovery obligations may result in more severe sanctions, including terminating sanctions. Defendants Aelee Bryan and Randal Bryan to give notice.
59	Palma vs. South Orange County Community College District 21-01234121	Motion to Strike or Tax Costs Plaintiff William Palma’s motion to strike or tax costs claimed by Defendant South Orange County Community College District (“Defendant” or “SOCCCD”) is GRANTED IN PART and DENIED IN PART. On 10/9/25, Judgment was entered in favor of Defendant and against Plaintiff. On 10/24/25, Defendant filed a Memo. Of Costs in the amount of \$1,575.02. (ROA 454) The instant motion was filed on 11/10/25. (ROA 458.)

		It is undisputed that Defendant SOCCCD was prevailing party in this matter. It is also undisputed that Plaintiff's motion is timely. Whether a party to litigation is entitled to recover costs is governed by Code of Civ. Proc. § 1032, which provides, in subdivision (b), that "[e]xcept as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." The costs that the prevailing party gets under Code of Civ. Proc. § 1032, are those enumerated in Code of Civ. Proc. § 1033.5 (which is the standard costs statute.) It enumerates the costs that are allowed to the prevailing party as a matter of right (subd.(a)), the costs that are not allowed unless they are authorized by some other law (subd.(b).) and a catch-call provision for other items, i.e. discretionary costs, so long as they are reasonable in amount (subd.(c).) Any allowable cost, whether expressly allowed or allowed in the court's discretion, may only be recovered if it is both reasonable in amount and was reasonably necessary to the conduct of the litigation, as opposed to merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5, subd. (c)(2)-(3); see <i>Bender v. County of Los Angeles</i> (2013) 217 Cal.App.4th 968, 989-990 (<i>Bender</i>).) Trial courts have no authority to reduce allowable costs based on considerations other than necessity or reasonableness of the costs. (<i>Nelson v. Anderson</i> (1999) 72 Cal.App.4th 111, 129-130 (<i>Nelson</i>).) A court has discretion to allow or disallow requested costs not enumerated in subdivision (a). Code Civ. Proc., § 1033.5(c) (4). Generally, "the burden is on the objecting party to show [costs] to be unnecessary or unreasonable." (<i>Nelson</i> at 131.) "If the items in a cost memorandum appear proper, the verified memorandum is prima facie evidence the expenses were necessarily incurred by the defendant." (<i>Benach v. County of Los Angeles</i> (2007) 149 Cal.App.4th 836, 858.) "To controvert this evidence, the burden is on the objecting party to present evidence showing the contrary." (<i>Whatley-Miller v. Cooper</i> (2013) 212 Cal.App.4th 1103, 1115 (emphasis in original).) "If items on their face appear to be proper charges, the verified memorandum of costs is prima facie evidence of their propriety, and the burden is on the party seeking to tax costs to show they were not reasonable or necessary." (<i>Jones v. Dumrichob</i> (1998) 63 Cal.App.4th 1258, 1266.) Once the opposing party makes such a showing, in support of a motion to tax costs, the challenged items are put in issue and the burden shifts back to the party claiming them as costs. (<i>Ibid.</i>) But conclusory assertions alone are not enough to cause this shift to happen. "[I]t is not enough for the losing party to attack submitted costs by arguing that he thinks the costs were not necessary or reasonable. Rather, the losing party has the burden to present evidence and prove that the claimed costs are not recoverable." (<i>Seever v. Copley Press, Inc.</i> (2006) 141 Cal.App.4th 1550, 1557.) However, "[w]here costs are not expressly allowed by the statute, the burden is on the party claiming the costs to show that the charges were reasonable and necessary." (<i>Foothill-De Anza Community College Dist. v. Emerich</i> (2007) 158 Cal.App.4th 11, 29.) "Whether a cost item was reasonably necessary to the litigation presents a question of fact for the trial court and its decision is reviewed for abuse of discretion." (<i>Ladas v. California State Auto. Assn.</i> (1993) 19 Cal.App.4th 761, 774.)
--	--	---

		Here, it is undisputed that Defendant was prevailing party in this action. Plaintiff moves to strike all costs or, alternatively, reduce the amount of claimed costs to zero on the following grounds: (a) The litigation was unnecessarily prolonged by Defendants' seven-month absence and delayed filing of a summary judgment motion that contained no new facts. (b) No discovery was conducted, and the same arguments supporting summary judgment existed in the first year of the case, making all litigation after ROA 77 unnecessary. (c) Multiple court and clerk errors, including the prejudicial rejection of Plaintiff's filings for minor errors while accepting Defendants' error-filled filings, burdened litigation and created avoidable legal work. (d) Plaintiff's requests for ADA accommodations were ignored; and (e) Taxing costs against a civil rights litigant under these circumstances would chill constitutional claims and is unjust under Code of Civil Procedure §§ 1032, 1033.5 and case law. (f) The action is a matter of public interest affecting over 50,000 students and the public, and taxing costs under these circumstances would chill the vindication of constitutional rights. <u>The litigation was unnecessarily prolonged by Defendants' seven-month absence and delayed filing of a summary judgment motion that contained no new facts</u> First, Plaintiff contends that Defendant's motion for summary judgment could have been filed immediately, trial did not need to be continued, no discovery was exchanged and the litigation produced no new facts after 9/30/22. Thus, everything after 11/4/22 was avoidable and was not reasonably necessary. It is undisputed that Defendant was prevailing party and therefore entitled to seek costs. This means that the prevailing party is entitled to all of its costs unless another statute provides otherwise. (See <i>Crib Retaining Walls, Inc. v. NBS/Lowry, Inc.</i> (1996) 47 Cal.App.4th 886, 890.) Absent such statutory authority, the court has no discretion to deny costs to the prevailing party. (Ibid.) Code of Civ. Proc. 1033 enumerates allowable costs and costs which are not allowable, and restricts allowable costs to those reasonably necessary to the conduct of the litigation. Plaintiff fails to present any statutory authority for reducing allowable costs for any of the reasons advanced by Plaintiff. "A court should be cautious in engrafting exceptions onto the clear language of Code of Civil Procedure section 1032." (<i>Great Western Bank v. Converse Consultants, Inc.</i> (1997) 58 Cal.App.4th 609, 614.) Nor should it " 'read into the statute allowing costs a restriction which has not been placed there....' " [Citation.] (<i>Crib Retaining Walls, Inc. v. NBS/Lowry, Inc.</i> supra, 47 Cal.App.4th at p. 890.) Plaintiff also fails to show how the length of this case increased the cost of litigation, especially where Plaintiff contends there was at least one long stretch where Defendant "disappeared" and therefore nothing was happening. Moreover, Plaintiff fails to show how the length of this case equates to Defendant not being entitled to <i>any</i> costs, as asserted by Plaintiff. Defendant
--	--	---

	was entitled to litigate the case as counsel saw fit. The motion for summary judgment was timely filed. Plaintiff cites <i>Chavez v. City of Los Angeles</i> (2010) 47 Cal.4th 970, 987: Court may deny costs where litigation was unnecessary or unjust. <i>Nelson v. Anderson</i> (1999) 72 Cal.App.4th 111: Costs may be denied if the prevailing party unreasonably prolonged litigation. <i>Chavez v. City of Los Angeles</i> (2010) 47 Cal.4th 970, 987 is distinguishable from the instant matter. In <i>Chavez</i>, the Court considered whether the trial court abused its discretion in denying a plaintiff's costs in an FEHA action where the matter should have been brought as a limited civil case and whether there was an irreconcilable conflict between section 1033(a) and the FEHA's attorney fee provision. This matter does not involve FEHA claims nor an analysis of whether Plaintiff should have brought his claims in limited jurisdiction. Moreover, as opposed to the <i>Chavez</i> matter, Plaintiff did not prevail in this matter. <i>Nelson v. Anderson</i> (1999) 72 Cal.App.4th 111 does not state that costs may be denied if the prevailing party unreasonably prolonged litigation. In <i>Nelson</i>, the Court of Appeal reviewed whether the trial court abused its discretion when it gave an across-the-board reduction of costs based upon the number of plaintiffs, without regard for the reason the costs were incurred and whether they were necessary or reasonable. The appellate court also found the trial court abused its discretion in denying particular fees. "If items on their face appear to be proper charges, the verified memorandum of costs is prima facie evidence of their propriety, and the burden is on the party seeking to tax costs to show they were not reasonable or necessary." (<i>Jones v. Dumrichob</i> (1998) 63 Cal.App.4th 1258, 1266.) However, conclusory assertions alone are not enough to cause this shift to happen. "[I]t is not enough for the losing party to attack submitted costs by arguing that he thinks the costs were not necessary or reasonable. Rather, the losing party has the burden to present evidence and prove that the claimed costs are not recoverable." (<i>Seever v. Copley Press, Inc.</i> (2006) 141 Cal.App.4th 1550, 1557.) Because Plaintiff failed to meet this burden as he fails to present any evidence, the motion is DENIED on this ground. Notwithstanding the above, review of the claimed costs demonstrate that some fees are not recoverable. Pursuant to the opposition, the "other" fee of \$22.50 was incurred for document retrieval from the OCSC's website. "Where costs are not expressly allowed by the statute, the burden is on the party claiming the costs to show that the charges were reasonable and necessary." (<i>Foothill-De Anza Community College Dist. v. Emerich</i>, supra, 158 Cal.App.4th at p. 29.) Here, Defendant fails to show how this cost was reasonably necessary to the conduct of litigation and not just convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5, subd. (c)(2)-(3); see <i>Bender v. County of Los Angeles</i> (2013) 217 Cal.App.4th 968, 989-990.) Accordingly, the Court strikes these "other" costs in the amount of \$22.50. <u>Court-Issued Continuances and Oppositions' Delays Created Avoidable Costs</u> Plaintiff next argued that the Court's continuances and delayed ruling on motions to amend prolonged the case. Defendant's request for a trial continuance (based on allegations of threats, which had already been resolved
--	--

		in criminal court) also prolonged the case. Thus, Plaintiff contends he should not be responsible for avoidable costs. But again, pursuant to the authority provided and discussed above, Plaintiff fails to meet his burden. Nevertheless, the Court exercises its discretion and strikes the “other” costs of \$22.50, as indicated above. <u>Judicial Errors, Threats, and Clerk Mistakes Created Unnecessary Work; Plaintiff’s Request for ADA Accommodations Were Ignored or Denied; Costs Should Be Denied to Avoid Chilling Constitutional Rights</u> None of these grounds are grounds upon which a Court can exercise its discretion to deny costs to Defendant SOCCCD. The prevailing party is entitled to all of its costs unless another statute provides otherwise. (See <i>Crib Retaining Walls, Inc. v. NBS/Lowry, Inc.</i>, supra, 47 Cal.App.4th at p. 890.) Absent such statutory authority, the court has no discretion to deny costs to the prevailing party. (Ibid.) Accordingly, the request to strike all costs on this ground is DENIED. But again, the Court strikes the “other” costs of \$22.50. <u>Total costs allowed: \$1,552.52 (\$1,575.02 – \$22.50)</u> Defendant to give notice.
60	Finnell vs. WC-Fullerton Ops, LLC 21-01233043	Motion for Termination of Sanctions NO TENTATIVE RULING – Parties to appear on Zoom or in-person at 10:00 AM.
61	Holler vs. The Horizons Community Association 21-01222398	Motion for Summary Judgment and/or Adjudication CONTINUED TO JUNE 4 TH , 2026 AT 10:00 AM
62	DFB Portal, LLC vs. Marco Fine Arts 23-01315041	Motion for Summary Judgment and/or Adjudication The Court is inclined to CONTINUE the Motion for Summary Judgment or Adjudication to 7/24/2026 at 10:00 AM, to allow briefing which addresses the appropriate procedure to resolve Defendants’ setoff defense and, specifically, whether consolidation of this action with <i>Marco Fine Arts, Inc. v. 240 Tech LLC</i> (2023-01317799) would more efficiently resolve the same; however, the Court requests counsel for both sides appear at the hearing, prepared to discuss these issues.

	Firstly, in opposing the motion for summary judgment, Defendants assert the existence of a triable issue, “as to whether the Operational Agreement, the Note, and the Guaranty comprise substantially one transaction.” (Opposition: 11:26 [capitalization altered from original].) In making this argument, Defendants rely on Civil Code section 1642, which states: “Several contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together.” (Civ. Code, § 1642.) Following their assertion that Civil Code section 1642 applies, Defendants assert: “[I]n order to prevail on its breach of Promissory Note and Breach of Guaranty causes of action, Plaintiff must prove that 240 Tech and DFB Portal substantially performed under the Operational Agreement to enforce the Note and Guaranty.” (Opposition: 14:20-22.) This argument, however, does not follow from application of Civil Code section 1642. “While it is the rule that several contracts relating to the same matters are to be construed together (Civ. Code, sec. 1642), it does not follow that for all purposes they constitute one contract.” (<i>Mountain Air Enterprises, LLC v. Sundowner Towers, LLC</i> (2017) 3 Cal.5th 744, 759.) “[J]oint execution would require the court to construe the two agreements in light of one another; it would not merge them into a single written contract.” (<i>Ibid.</i>; See also <i>Ahern v. Asset Management Consultants, Inc.</i> (2022) 74 Cal.App.5th 675, 693-694 “[S]ection 1642 directs courts to construe agreements relating to one transaction in light of one another, not to merge them into a single contract.”)) Civil Code section 1642 does not authorize importing the terms of one agreement into another. (<i>Ahern v. Asset Management Consultants, Inc.</i> (2022) 74 Cal.App.5th 675, 693.) “Civil Code section 1642 is simply one of the rules referred to in Civil Code section 1637 for aiding in the interpretation of a contract when the intent of the parties is otherwise doubtful.” (<i>Ahern v. Asset Management Consultants, Inc.</i> (2022) 74 Cal.App.5th 675, 694.) Similar to the circumstances in <i>Ahern</i>, Defendants “misconstrue Civil Code section 1642 when they simplistically contend the terms of one agreement are necessarily incorporated into all other agreements that form parts of a single transaction.” (<i>Id.</i> at p. 693.) Notably, Defendants do not identify any ambiguous provisions within the Promissory Note or Guaranty, or any related provisions in the Operational Agreement, which would illuminate the meaning of such provisions. Consequently, Defendants’ reliance on Civil Code section 1642 is misplaced and irrelevant to the resolution of this motion. However, Defendants argue a triable issue exists, as to whether “DFB Portal and 240 Tech are alter egos of one another,” asserting “[i]f so, then 240 Tech’s failure to substantially perform its obligations under Section 1 of the Agreement precludes recovery on the Note and Guaranty because both entities are one in the same.” (Opposition: 16:15-17.) While there has been no showing the Operational Agreement was incorporated into the Note and Guaranty, whether DFB Portal and 240 Tech are alter egos and whether 240 Tech breached the Operational Agreement,
--	--

		materially affect Defendants’ affirmative defense of setoff. (See Thirteenth Affirmative Defense [ROA No. 134].) “Setoff [or offset] is an equitable doctrine under which a defendant may offset sums owing to the plaintiff against sums owing from plaintiff to defendant, with the result that the offsetting amounts are cancelled and the defendant is obligated to pay plaintiff only the net amount, if any.” (<i>Jogani v. Jogani</i> (2026) 118 Cal.App.5th 823, 888.) “[A] setoff claim may only be used defensively, being in nature a defensive pleading asserting that the claim constituted prior payment for the amount sought in the plaintiff’s complaint.” (<i>Morris Cerullo World Evangelism v. Newport Harbor Offices & Marina, LLC</i> (2021) 67 Cal.App.5th 1149, 1159.) In responding to this argument, Plaintiff asserts, simply, that setoff does not preclude summary judgment. (Reply: 13:6-12 [ROA No. 338].) In making this argument, Plaintiff relies on <i>Los Angeles Unified School District v. Torres Construction Corp.</i> (2020) 57 Cal.App.5th 480 (<i>Torres</i>), an action which reached precisely this conclusion; however, the circumstances in <i>Torres</i> were distinguishable. In <i>Torres</i>, the defendant alleged setoff as an affirmative defense <i>and</i> as a claim within a cross-complaint. (<i>Torres, supra</i>, 57 Cal.App.5th at p. 499.) The court in <i>Torres</i> held the setoff defense did not create a triable issue of material fact, as to the amount of damages owed to plaintiff therein, explaining: “The affirmative defense of setoff is equitable in nature [citation] and so would not ordinarily be decided by the jury which decides the amount of damages.” (<i>Id.</i> at p. 500.) “Thus, LAUSD would not have been required to disprove the affirmative defense of setoff at a jury trial, and Torres would not have been entitled to prove it as an affirmative defense at such trial.” (<i>Ibid.</i>) The Court in <i>Torres</i>, explained that “a setoff defense does not negate or change the plaintiff’s damages.” (<i>Ibid.</i>) Similar to the above, the Court in <i>McMillin Companies, LLC v. American Safety Indemnity Co.</i> (2015) 233 Cal.App.4th 518, explained “[t]he significance of this distinction” is that “offset affects the right to <i>recover damages</i>, not the <i>amount of damages suffered</i>...” (<i>Id.</i> at p. 535.) Nonetheless, the <i>Torres</i> court acknowledged that, “[i]n some instances, a defendant’s offset claim may be directly related to and intertwined with the claims asserted in plaintiff’s complaint, and deciding one will necessarily decide the other.” (<i>Torres, supra</i>, 57 Cal.App.5th at p. 501.) “In such cases, summary adjudication on the plaintiff’s claim may not be possible unless the defendant’s offsetting counterclaim can also be resolved.” (<i>Ibid.</i>) Although not explicitly stated, Plaintiff appears to take the position this action is one where the issues are <i>not</i> intertwined. In <i>Torres</i>, in holding the setoff defense did <i>not</i> create a triable issue relevant to the motion for summary judgment, the court explained: “Here, Torres’s offset defense and counterclaim did not arise from the jobs that were the source of LAUSD’s claims, and resolution of LAUSD’s claims would in no way decide the merits of Torres’s claim for withheld payments on unrelated and undisputed jobs.” (<i>Torres, supra</i>, 57 Cal.App.5th at p. 501.) Similar to the above, the setoff defense herein arises from the alleged breach of a separate agreement; however, unlike the circumstances in <i>Torres</i>, there is no cross-complaint which remains to be tried or determined. In <i>Torres</i>, the
--	--	---

		court explained “the trial court could decide Torres’s offset defense after summary adjudication and before entering a final judgment in the matter.” (<i>Torres, supra</i>, 57 Cal.App.5th at p. 501.) Here, in contrast, granting summary judgment as requested by Plaintiff, would seemingly lead to the conclusion of this action and final judgment, without any determination of the defense. While Plaintiff asserts the setoff defense need not be determined in this context, Plaintiff does not identify the process by which it believes the setoff defense would more appropriately be addressed. Per a leading secondary authority, “set off can only be asserted as a defense, and is not [a] basis for ‘postjudgment motion’ to reduce judgment.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) Chapter 6-C [Answer], ¶6:447.) In light of the above, the Court continues this motion to 7/24/2026 at 10:00 AM. Counsel shall appear at the hearing, prepared to discuss an appropriate and efficient procedure to address Defendants’ setoff defense. In particular, the Court requests the parties be prepared to discuss consolidation of this action with the related action <i>Marco Fine Arts, Inc. v. 240 Tech LLC</i> (2023-01317799) and whether the same would place this action on a similar procedural posture as <i>Torres</i>, thereby permitting entry summary adjudication in favor of Plaintiff DBF Portal while preserving the “set off” defense and final judgment, until <i>after</i> adjudication of the related claims. Of note, the setoff defense asserted by Defendants within this motion, appears to mirror the breach of contract claim asserted within <i>Marco Fine Arts, Inc. v. 240 Tech LLC</i> (2023-01317799). “Consolidation, as a procedural matter, converts two cases into one action.” (<i>Guardianship of C.E.</i> (2019) 31 Cal.App.5th 1038, 1053.) Where “a complete consolidation or consolidation for all purposes” occurs, “the two actions are merged into a single proceeding under one case number and result in only one verdict or set of findings and one judgment.” (<i>Hamilton v. Asbestos Corp., Ltd.</i> (2000) 22 Cal.4th 1127, 1147.) The Court notes that, while Plaintiff DFB Portal is <i>technically</i> not a party to the related action, Defendants are asserting DFB Portal, is an alter ego of 240 Tech. The parties may file supplemental briefs addressing the above issues, not to exceed 5 pages in length, no later than 14 days prior to the continued hearing date. Clerk to give notice to all parties in both this action and <i>Marco Fine Arts, Inc. v. 240 Tech LLC</i> (2023-01317799).